CAVA Group

Equity valuation. 5 August 2026 close. Aadi Joshi.

Reference price	Base DCF value	Base upside / (downside)
$66.17	**$30.70**	**-53.6%**

Valuation view

The base DCF supports $30.70 per share against the $66.17 reference price, a 53.6% shortfall. The business expands substantially in the forecast, yet cash construction costs and required reinvestment absorb part of the operating gains. The terminal value implies 6.89x final-year EBITDA under 3% growth and 20% incremental ROIC.

Operating case

CAVA ended FY2025 with 439 restaurants and reported mature-store AUV of $2.934 million. May guidance called for 75-77 FY2026 openings, 4.5%-6.5% same-restaurant sales growth and 23.7%-24.3% restaurant-level margin. The base starts at the midpoints and reaches 1,271 restaurants, $4.10 million mature AUV and $5.06 billion of revenue by FY2035. Later-year inputs are estimates. [1, 3]

The revenue build distinguishes opening cohorts: 45% of mature annual sales in the first year, 90% in the second and 100% thereafter. Both timing and immature productivity affect the opening-year factor. Mature AUV is based on full trailing 13-period sales; it does not establish the productivity of every new store. [1]

Restaurant-level margin reaches 25.7% and G&A falls to 6.8% of revenue. After depreciation, opening costs, noncash charges and the retained Other segment loss margin, FY2035 EBIT margin is 12.7%. Successful sites, labor efficiency and repeat demand are therefore essential. The forecast carries the FY2025 Other loss margin rather than assuming immediate break-even.

Scenario	Value / share	Difference to reference
Downside	$14.55	-78.0%
Base	$30.70	-53.6%
Upside	$47.92	-27.6%
Equivalent multiple	$30.70	-53.6%

Scenario values change operating and terminal assumptions. They are model comparisons, not probability estimates. The equivalent multiple reconciles the base terminal assumptions.

Cash generation and investment

Cash construction costs start at $1.80 million per opening and rise 3% annually to $2.35 million. The base retains $15 million of annual shared infrastructure spending. Final-year CapEx is $255.35 million versus $227.84 million of D&A. The capital-asset schedule makes the implied investment visible.

Noncash impairment and disposal losses are added back after reducing operating profit. The normalized 25% cash-tax assumption applies to EBIT before those write-downs, avoiding an assumed immediate tax benefit. The cash-tax treatment does not forecast NOL utilization. Company statements separately identify the noncash adjustment. [1, 2]

Valuation risks

CAVA Group. USD millions except per-share data. Forecast values derive from the accompanying workbook.

Required return

WACC is 9.98%, using a selected beta of 1.265. Half comes from a 1.75 company operating-risk assumption and half from the January 2026 restaurant cash-corrected operating beta of 0.78. The company value and weighting are judgments. Industry lease conventions and business mix limit comparability. The Treasury rate is 4.63%, ERP is 4.23% and funded debt is zero. [2, 4, 5, 6]

Sensitivity

Independent change	Value / share
WACC -1.00 percentage point	$36.82
Base	$30.70
WACC +1.00 percentage point	$26.17
Terminal growth -0.50 percentage point	$29.79
Terminal growth +0.50 percentage point	$31.74

At 3% terminal growth and 20% incremental ROIC, terminal FCFF is $418.12 million. Growth slows below the final explicit-year pace. Terminal value contributes 73.7% of EV. The equivalent 6.89x final-year EBITDA multiple reproduces $30.70 per share. It is derived from the same growth, required return and reinvestment assumptions.

A one-percentage-point reduction in every explicit-year EBIT margin lowers value to $27.93. Terminal ROIC of 15% produces $29.48; 25% produces $31.43. Cohort sales and construction spending are more useful operating checks than the opening count alone.

Equity bridge and disclosure limits

The bridge adds $302.96 million of cash and liquid securities after a $100 million operating reserve, plus the separate $10.715 million Hyphen note. Rent stays in operating expenses, so operating lease liabilities are not deducted again. Diluted shares are estimated at 118.448856 million. Cash is from 19 April and basic shares from 12 May. [2]

All three models discount at fiscal year-end using actual days / 365. The first future period is prorated by remaining fiscal days. This approximates evenly timed cash generation; seasonal spending can change the remaining-period cash flow. Market inputs and company disclosures are kept at or before the stated cutoff.

Sources

[1] CAVA, FY2025 Form 10-K, 25 February 2026. Financial statements, AUV definition, capital assets and segment note.

[2] CAVA, Q1 FY2026 Form 10-Q, 20 May 2026. Cash flows, investments and share disclosures.

[3] CAVA, Q1 FY2026 earnings release, 19 May 2026. Annual operating guidance.

[4] U.S. Treasury, daily par yield curve, 5 August 2026, 10-year rate.

[5] Aswath Damodaran, historical implied U.S. ERP, 2025 endpoint, January 2026 dataset.

[6] Aswath Damodaran, U.S. sector betas, January 2026, Restaurant/Dining.

[7] Yahoo Finance, CAVA historical prices, 5 August 2026 close.